

LUCKIN COFFEE (LKNCY) - Buy \$68 PT (88% 12-Month Upside)

Agent's List | September 27, 2026

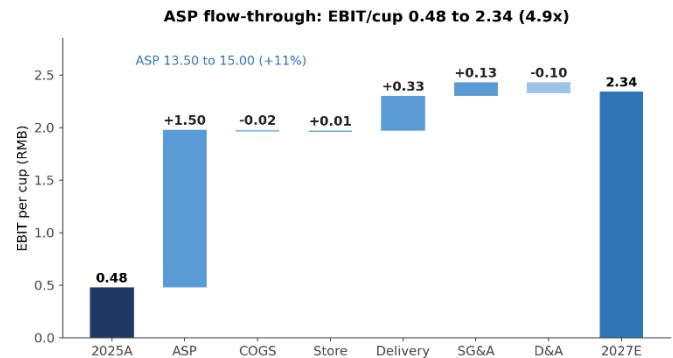
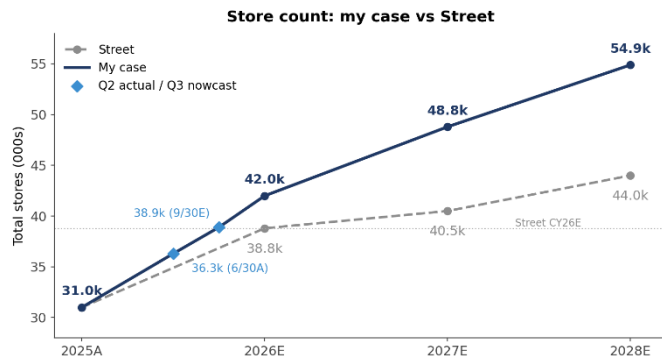
Variant View

- **Luckin is the best-positioned way to own the structural tailwind in Chinese coffee consumption.** It is the only scaled operator combining ~50 sqm stores, app-only ordering, first-party data, 100+ product launches a year, in-house roasting, and an RMB 2.0-2.5 per-cup cost advantage over Cotti, the next-lowest-cost competitor. Over the next 5 years, I expect 20%+ revenue growth/year and margin expansion.
- **China consumed 22 cups of coffee per capita in 2025 (4 in 2015) versus ~400 in South Korea.** A 15% CAGR (slowdown from previous rate) gets China to ~89 cups by 2035, still a quarter of Korea today. A cup fell from 30-50% of daily disposable income to ~10% since 2015 as prices halved and incomes doubled. As white-collar job growth and urbanization rise, I believe this trend will continue.
- **My Baidu scrape called Q2 within 150 stores: 36,310 printed (+2,714 net), 2k above Street. Street is now 38.8k for CY26; my Q3 scrape tracks ~38.9k global on 30 Sep.** I project 42k+ by year-end and 54.9k vs Street 44.0k in 2028. My China TAM build (city density, cups convergence, Mixue analog, branded share) lands at 54-63k, if coffee consumption somehow stalls. Assuming that Chinese coffee consumption grows, the store TAM is 200k+ in China (5x the current store count). Luckin closes ~0.6 gross stores a day; Cotti closes ~16.
- **The market is looking at the wrong number.** Q2 SSSG of -5.3% laps a +13.8% base inflated by the JD/Alibaba/Meituan subsidy war (Q2-Q4 2025), so the two-year stack is still ~+8%, and that is with 8,700 net new stores cannibalizing the base. Revenue grew 28.5%, MTC hit a record 112.7M, and the Q4 comp base is only +1.2%, so the overhang clears after one more print.
- **Pricing is turning.** Cotti ended RMB 9.9 pricing (low end now 14.9) after 3.5-4k gross closures in 2025; its tracked count is down 844 from the Feb-26 peak. My WeChat scrape showed Luckin pricing +12% in three months. Street has gross margin falling from 61% to 55% by 2028; I model ~5% annual ASP growth, which nearly doubles EBIT and puts the stock at ~8x '27E on my numbers vs ~15x consensus.

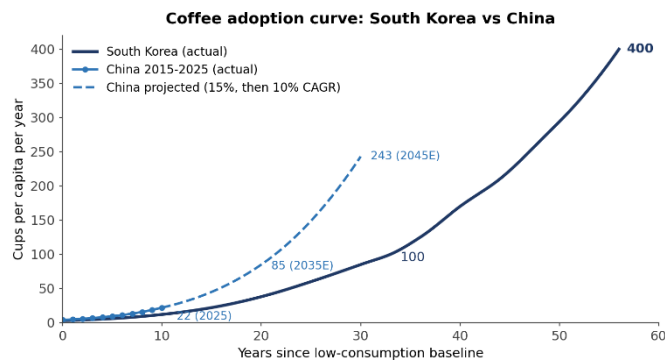
Unit economics 2026E (RMB per cup): 14.2 ASP - 5.2 COGS - 3.4 store - 1.9 delivery - 1.7 SG&A - 0.6 D&A = ~1.4 EBIT (2.34 in '27 on 15.0 ASP).

(+) Store count will grow far faster than consensus expects.

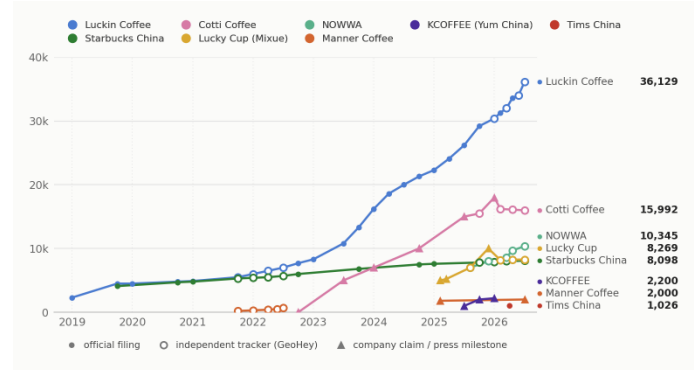
(+) ASP increase flows through with high margins to EBIT/cup.



(+) Cups per capita: +70% in two years; 15-20% CAGR next decade.



(+) Luckin has more stores than the top 3 competitors combined.



(+) Catalysts

- **Q3 print (Nov):** Q3 units of ~38.9k vs Street 37.8k; third straight 2.5k+ net-add quarter.
- **Comps and margin:** realized ASP and delivery/cup normalizing post-lap. ASP increase has high incremental margins.
- **Capital return:** \$500M buyback (upsized 9/1); relisting and US rollout are free options.

(-) Risks

- **Bean and packaging inflation:** El Niño and Hormuz-driven freight could hold gross margin down longer than my 5% pricing offsets; the lowest-cost operator is best insulated.
- **Governance and OTC:** Centurium control and the 2020 fraud history keep the multiple discounted; expert calls (incl. the former governance chair) support the current board.

Conclusion: a category-growth, share-gain and margin-inflection story with units already printing above Street's full-year number and the main competitor shrinking. At ~\$36, the stock trades at ~8x my '27E EBIT vs ~15x consensus; 15x my estimate with no multiple expansion is \$68 (88% upside). Even 20x would be half SBUX's multiple on a 61% EBIT CAGR through 2028. My bear case assumes no pricing and that Street's 55% gross margin holds; at 12x '27E EPS of \$2.40, the stock is \$29 (-20%), a ~4:1 risk/reward against \$68.